triple tops, have bottom versions. Why not the bump-and-run reversal? It never dawned on me to look for the pattern before then.

As I searched through the data looking for candidates, I was skeptical that the pattern added real value. Some looked like cup-with-handles with the handle coming first, whereas others looked like rounding bottoms. Only after I compiled the statistics did my thoughts change.

The pattern is a strong performer with gains averaging between 35% and 55%, placing the first and second in the performance rank for bull and bear markets. The breakeven failure rate is small, too, coming in at 10% or less.

Grab your magnifying glass and let's look closer at this pattern.

Tour

What is a bump-and-run reversal, anyway? If I had to name this formation independent of all others, I would probably call it the frying pan or spoon because that is what it looks like. However, the formation is just a BARR top flipped upside down, so I call it a BARR bottom. I guess a more accurate description is an inverted BARR.

Why do BARR bottoms occur? Like the top version, the BARR bottom is a study of momentum. Consider the chart shown in **Figure 14.1** on the weekly scale. The last week of October 1993 initiated a long climb to the highs of early January 1994. On the highest volume that the stock had seen in years, the stock hit a new high of 14.38 during the week of 14 January. Volume began tapering off, although it was still high, and price tagged a much smaller peak during the week of 25 March, at 14. The two minor highs, one in mid-January and another in late March, formed the basis of a down-sloping trendline.